



Bill Number: S.B. 1399

Shamp Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Requires the Arizona Health Care Cost Containment System, instead of each prepaid capitated contractor, to submit an annual expenditure report aggregated for all nongovernment entities with a prepaid capitated contract.
2. Requires the report to include amounts spent on direct payments to providers for services, rather than direct patient care.
3. Specifies that the report must include administrative expenditures by category, including:
 - a) health care quality improvement activities;
 - b) program integrity, including fraud, waste and abuse prevention;
 - c) taxes, licenses and regulatory fees;
 - d) community reinvestment; and
 - e) all other administrative activities.

SHAMP FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1399
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-2904.01, to read:

4 36-2904.01. Prepaid capitated contracts; expenditures; annual
5 report

6 ON OR BEFORE DECEMBER 1 OF EACH YEAR, ~~[EACH PERSON OR ENTITY THAT~~
7 ~~HAS A PREPAID CAPITATED CONTRACT WITH]~~ THE ADMINISTRATION SHALL ANNUALLY
8 REPORT TO THE JOINT LEGISLATIVE BUDGET COMMITTEE, THE GOVERNOR, THE
9 PRESIDENT OF THE SENATE, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND
10 THE MEMBERS OF THE SENATE AND HOUSE OF REPRESENTATIVES HEALTH AND HUMAN
11 SERVICES COMMITTEES, OR THEIR SUCCESSOR COMMITTEES, [IN AGGREGATE FOR ALL
12 NONGOVERNMENT ENTITIES THAT HAVE A PREPAID CAPITATED CONTRACT WITH THE
13 ADMINISTRATION.] THE PERCENTAGE OF MONIES IN THE PREVIOUS CONTRACT YEAR:

14 1. THAT WAS SPENT ON DIRECT ~~[PATIENT CARE]~~ [PAYMENTS TO PROVIDERS
15 FOR SERVICES].

16 2. THAT WAS SPENT ON ADMINISTRATIVE COSTS~~[, BY CATEGORY, INCLUDING~~
17 ~~AN EXPLANATION OF THE COMPONENTS OF EACH CATEGORY OF ADMINISTRATIVE~~
18 ~~EXPENDITURES]~~ [FOR EACH OF THE FOLLOWING:

19 (a) HEALTH CARE QUALITY IMPROVEMENT ADMINISTRATIVE ACTIVITIES.

- 1 (b) PROGRAM INTEGRITY, INCLUDING FRAUD, WASTE AND ABUSE PREVENTION
- 2 EXPENSES.
- 3 (c) TAXES, LICENSES AND REGULATORY FEES.
- 4 (d) COMMUNITY REINVESTMENT.
- 5 (e) ALL OTHER ADMINISTRATIVE ACTIVITIES].

6 Enroll and engross to conform

7 Amend title to conform

JANAE SHAMP

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